

ICAP Strategic Case Study

Summer 2026 - Predicted Paper 8

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Instructions to candidates

- This paper should be read together with the Pre-Exam Information for KMCH issued by ICAP for the Summer 2026 attempt.
- Some requirements specifically ask you to refer to particular appendices in the Pre-Exam Information. You should use the new information in this paper together with the pre-seen material and your own analysis.
- Show all workings for numerical requirements. Marks will be awarded for professional judgement, analysis, interpretation and practical recommendations, not only for calculations.
- Assume that all monetary amounts are in Pakistani Rupees (Rs.) million unless stated otherwise.

Additional information provided in this paper

Appendix	Information
1	Board update: growth pressure, cash discipline and need to revisit pre-seen warning signs
2	Updated working capital information and selected 2026 operating data
3	Business portfolio and segment information
4	Pricing, discounting and margin pressure update
5	Three-month cash-flow forecast information and Board risk context
6	Maintenance strategy and internal charging information
7	Regulation, employee capability and ethical issue update

Requirements

Question 1

- Using the management accounts and commentary in Appendices 6 and 7 of the Pre-Exam Information, together with Appendix 2 of this paper, analyse KMCH's working capital position and advise how it should improve cash conversion without damaging customer relationships or service quality. **(16 marks)**
- Using the segment profitability, market growth and operating information in Appendix 3, evaluate KMCH's business portfolio using an appropriate portfolio analysis framework such as the BCG matrix and/or product life-cycle analysis. Recommend which segments should be prioritised, fixed, harvested, ramped down or exited. **(16 marks)**
- Using the revenue growth and cost-pressure commentary in the Pre-Exam Information and Appendix 4 of this paper, advise how KMCH should revise pricing, discounting and package design to protect margins while remaining competitive. **(8 marks)**

Total: 40 marks

Question 2

- (a) Prepare a three-month cash-flow forecast using Appendix 5, identify the peak funding requirement, and prepare a Board-level risk assessment of the key liquidity, operational and commercial risks arising from the forecast and updated information. Recommend mitigating actions and risk owners. **(16 marks)**
- (b) Using relevant costing principles and the information in Appendix 6, evaluate whether KMCH should continue with outsourced maintenance, establish an in-house maintenance workshop, or adopt a hybrid model. Include qualitative factors in your recommendation. **(10 marks)**
- (c) Using Appendix 6 and the segment information in Appendix 3, evaluate how KMCH should design internal charging arrangements for shared vehicles, head-office support, technology platform costs and maintenance services between its business segments, and explain how poor internal charging could distort segment performance. **(9 marks)**

Total: 35 marks

Question 3

- (a) Using the vehicle-hire regulation and compliance framework in Appendix 8 of the Pre-Exam Information, together with Appendix 7 of this paper, evaluate the business risks if KMCH fails to maintain proper documentation over vehicle fitness, customer driving licences, insurance, accidents and chauffeur / tour-guide compliance. Recommend Board-level actions. **(10 marks)**
- (b) Using the employee exit-interview notes in Appendix 10 of the Pre-Exam Information and the new operational issues in Appendix 7 of this paper, recommend how KMCH should improve employee training, supervision, retention and career development. **(10 marks)**
- (c) Advise how KMCH should respond ethically if depot managers are pressurised to delay customer deposit refunds and suspend services to slow-paying corporate customers solely to improve short-term cash flow. **(5 marks)**

Total: 25 marks

Appendix 1 - Board update: growth pressure, cash discipline and pre-seen warning signs

At the July 2026 Board meeting, the Chief Executive Officer reminded the Board that the 2025 Pre-Exam Information already showed both growth and pressure points. The company had reported strong revenue growth, but the commentary also highlighted margin pressure, increasing receivables, higher inventory, fleet ageing, customer-service concerns and staff turnover.

The Finance Director said that the Board should not treat the issues as isolated departmental problems. In her view, the 2026 data suggests that growth is becoming more cash-absorbing and that management needs to decide which business segments deserve capital and management attention.

The Operations Director added that depot teams are requesting more vehicles, more mechanics and more overtime. However, some vehicles are underutilised in one segment while other segments complain of shortages. The Sales and Marketing Director believes that discounting has helped revenue growth but may be weakening price discipline and the premium positioning of the brand.

The Board asked for a paper that links the new information with the pre-seen material rather than treating the additional appendices as a stand-alone update.

Appendix 2 - Updated working capital information and selected 2026 operating data

The Finance Director has provided the following working capital summary. The 2025 amounts are reported in Appendix 6 of the Pre-Exam Information.

Item	2026 actual	2026 Board note
Inventory	31.4	Higher tyre, spare-part and battery stock held to reduce vehicle downtime.
Trade receivables	86.5	Corporate leasing and chauffeur accounts have grown, but several customers now pay after 60-75 days.
Cash	142.0	Cash remains positive but is much lower after fleet deposits, supplier payments and delayed collections.
Trade payables	95.2	Payables increased as workshops and parts suppliers allowed extended terms.
Other payables	145.0	Includes accrued staff costs, customer deposits payable and tax-related accruals.
Lease liabilities <12 months	405.0	Higher due to additional leased vehicles and higher finance rates.

Selected 2026 operating data:

Operating measure	2026 actual
Average active vehicles available for rent	566
Utilisation rate	72.8%
Customer satisfaction feedback	4.5 / 5
Annual mileage per vehicle	17,100
Average vehicle age	2.9 years
Average number of employees	338
Employee turnover	15.6%

Management is considering stricter credit terms for weak-paying customers, better inventory planning, accelerated collection from corporate clients and revised deposit-refund procedures. The Sales and Marketing Director has cautioned that aggressive collection tactics could damage important customer relationships.

Appendix 3 - Business portfolio and segment information

The Board has asked for a portfolio review of the main business segments. The Finance Director emphasised that the data is management information and should be interpreted together with the strategic context in the Pre-Exam Information.

Segment	Revenue 2026	Revenue growth	Contribution margin	Capital employed	Market / demand growth	Market position / comment
Premium self-drive cars	820	7%	34%	2,250	Medium	Strong brand, loyal customers, but price-sensitive users are switching to app-based competitors.
Chauffeur / airport transfer	390	10%	29%	980	Medium to high	Premium service valued by corporates and visitors; driver availability and service consistency are constraints.
Corporate leasing	310	22%	26%	1,150	High	Stable recurring demand but receivable days are longest and contract terms are becoming more demanding.
Motorcycle / adventure tours	230	18%	20%	520	High but seasonal	Growth is linked to domestic tourism; safety, guide capability and seasonality are key issues.
Low-performing depot walk-in rentals	165	-4%	11%	440	Low	Older fleet, price competition and lower customer ratings.
Digital platform / booking services	58	35%	47%	160	High	Includes platform fees and app-led bookings; still small but supports other segments.

The Sales and Marketing Director believes premium self-drive and chauffeur services remain central to KMCH's identity, while corporate leasing can provide recurring revenue. The Operations Director is concerned that the motorcycle and low-performing depot segments absorb disproportionate management time. The IT Director believes the digital platform is strategically important even if direct revenue is currently small.

Appendix 4 - Pricing, discounting and margin pressure update

The Sales and Marketing Director provided the following update on pricing and packages.

- Standard daily rental prices were increased by 6% during 2026, but fuel, tyres, spares and insurance costs increased by more than this in several vehicle categories.
- Depot managers have been allowed to offer discretionary discounts of up to 12% to retain customers. In practice, discounting is higher at low-performing depots and for repeat app users.
- Corporate customers increasingly request all-inclusive pricing covering vehicle, driver, maintenance, insurance, replacement vehicle and fuel escalation protection.
- Some customers have complained that late-return charges, cleaning charges and excess-mileage fees are not transparent enough at booking stage.
- The customer service team has proposed weekend packages, off-peak pricing, early-payment incentives for corporate accounts and separate premium packages with guaranteed newer vehicles.

The Finance Director is concerned that headline revenue growth may be masking weaker margins, especially where discounts, fuel increases and delayed collections combine in the same customer contracts.

Appendix 5 - Three-month cash-flow forecast information and Board risk context

The Finance Director has prepared information for a short cash forecast for July to September 2026. Opening cash at 1 July 2026 is expected to be Rs. 118 million.

Cash-flow item	July	August	September	Notes
Receipts from self-drive and chauffeur customers	140	155	165	Cash/card receipts are generally collected within the month.
Receipts from corporate customers	65	85	110	Assumes collection of older balances; Rs. 30m may slip from August to September if one large client delays.
Receipts from motorcycle / tour customers	45	60	35	Peak season in July and August.
Vehicle lease rentals and finance payments	(74)	(74)	(76)	Includes short-term lease obligations.
Payroll and staff-related payments	(48)	(49)	(50)	Includes overtime during peak tourism season.
Maintenance, tyres and spares	(70)	(82)	(65)	Includes catch-up maintenance after delayed workshop availability.
Fuel, insurance and operating suppliers	(63)	(68)	(67)	Partly variable with utilisation.
Technology and app-related payments	(20)	(18)	(16)	Includes licence verification API and customer app vendor payments.
Tax and statutory payments	(22)	(12)	(18)	Includes withholding and provincial tax payments as advised by the tax team.
Capex deposits for replacement vehicles	(55)	(25)	(10)	Deposits placed to lock delivery prices.

The Board has asked management to identify the peak cash requirement and the main risks arising from this short-term forecast. Bank overdraft facilities of Rs. 75 million are currently available, but the bank has asked KMCH to avoid repeated excess drawings.

Appendix 6 - Maintenance strategy and internal charging information

The Operations Director is considering whether KMCH should establish a central in-house maintenance workshop in Karachi. Currently, most maintenance is outsourced to approved workshops, while small checks are performed at depots.

Cost / benefit item	Continue outsourced model	In-house workshop model	Notes
Annual number of standard jobs	5,200 jobs	5,200 jobs	Expected jobs for Karachi and nearby depot vehicles.
Average outsourced cost per standard job	Rs. 92,000	-	Avoidable if work is moved in-house, except specialist jobs.
In-house variable parts and consumables per job	-	Rs. 54,000	Incremental cost per standard job.
Additional workshop technicians and supervisors	-	Rs. 96m per year	Incremental salary and benefit cost.
Workshop lease and utilities	-	Rs. 38m per year	Incremental fixed cost.
Equipment depreciation and maintenance	-	Rs. 34m per year	Equipment cost already financed separately; depreciation used as annual cost estimate for management comparison.
Specialist repairs still outsourced	Included in outsourced jobs	Rs. 42m per year	Complex engine, paint and warranty work will continue outside.
Estimated downtime saving	-	Rs. 52m per year	Expected contribution protected from faster turnaround; management estimate.

The Finance Director has reminded the Board to use relevant costing principles. Allocated head-office administration of Rs. 22 million has been shown by the Operations team as a “workshop cost”, but it would not change if the workshop is created.

If the workshop is approved, management must decide how to charge costs to segments. At present, vehicle costs are often allocated using simple revenue percentages. The Finance Director is concerned that this distorts segment profitability, especially where premium self-drive cars, corporate leasing vehicles and motorcycle tours use different vehicle types, mileage patterns and service intensity. The IT Director has also proposed charging platform-development costs to segments based on the number of bookings processed through the app.

Appendix 7 - Regulation, employee capability and ethical issue update

The Operations Director has reported that higher utilisation and staff turnover are increasing pressure at depot level. The Board has asked management to compare these issues with the compliance framework in Appendix 8 and the exit-interview notes in Appendix 10 of the Pre-Exam Information.

- A sample review found delays in scanning updated driving-licence documents for repeat customers, although depot staff said the licences were inspected manually.
- Some motorcycle-tour files were missing evidence that guides had completed the latest defensive-driving refresher course before peak season bookings were accepted.
- Two depots had incomplete vehicle-fitness certificate logs for vehicles transferred between Karachi and Lahore.
- Customer-service agents said they had not received formal training on new pricing packages, deposit-refund disputes or how to explain excess-mileage charges to customers.
- The HR Director has linked these issues to the exit-interview feedback in the pre-seen, especially the absence of structured training, unclear progression, cancelled training sessions and informal shift allocation.

Ethical issue

In an informal management meeting, some depot managers suggested delaying customer deposit refunds by two weeks and suspending service to all corporate customers with balances outstanding for more than 45 days. The Finance Director said cash discipline is important, but the Sales and Marketing Director warned that this could be unfair to customers where charges are disputed or where large corporate accounts have agreed payment cycles.